



INTERNAL AUDIT PROCEDURE

Internal Audit Procedure



Document Title	Internal Audit Procedure
Document Ref	SM/INT/PRO/003
ISO Standard	ISO 9001:2015 / ISO 18788:2015 / ISO 28007:2015 / ISO 28000:2022 / ISO 45001:2018 / ISO 19011:2018
Version	1.0
Classification	Internal
Effective Date	30 March 2026
Review Frequency	As per Document Register defined review date, or upon significant change
Owner	Group Compliance Director
Approved By	Pavel Shparber, CEO / Darren Watts, Group Compliance Director
Applicable Entities	Seagull Maritime FCZO, Seagull Maritime Malta, Seagull Maritime Nigeria, Seagull Maritime UK, Seagull Offshore

INTRODUCTION

This procedure defines the process and methods for conducting internal audits.

The Group Compliance Director is responsible for implementation and management of all internal audits.

By applying the principles of auditing, outlined by ISO 19011:2018, Seagull ensures that all internal audits are conducted with due process and diligence, and with a focus on driving continual improvement across the management system.

TERMS AND DEFINITIONS

Audit: systematic and formal comparison of documentation and practice against requirements, performed for the purpose of finding areas of compliance and non-compliance with standards and internal procedures.

Evidence: data or examples which can be proven true and verified for the purposes of supporting an audit finding.

Finding: any summary of audit evidence. Findings are graded using a five-tier system:

- **Major Non-Conformity:** a non-conformity that shows a clause or other requirement has not been implemented at all or has been implemented so poorly that it cannot fulfil its intended purpose. Requires immediate corrective action.
- **Minor Non-Conformity:** a single instance, or small set of instances, that show a requirement has not been met. At the Lead Auditor's discretion, a group of Minor findings against the same clause may be escalated to a Major.
- **Observation:** a factual statement about a condition noted during the audit that does not constitute a non-conformity but warrants attention to prevent future issues.

Internal Audit Procedure



- Opportunity for Improvement (OFI): a suggestion for enhancing the effectiveness or efficiency of a process or control, beyond the minimum requirements of the standard.
- Positive Finding: a report of compliance or good practice that demonstrates effective implementation of a requirement.

Non-conformity/non-compliance: any instance where practice or evidence does not comply with requirements.

SELECTING INTERNAL AUDITORS

The audit team will include personnel who are not directly responsible for the area being audited, to ensure impartiality and objectivity. Where the organisation's size means a single auditor conducts the audit, impartiality is maintained through structured methodology and evidence-based assessment. Internal auditors are selected by the Group Compliance Director and are assessed on:

- Impartiality.
- Education: secondary or higher.
- Work Experience: more than 5 years.
- Relevant Training: provided in-house or externally.
- Audit Experience: demonstrable knowledge/skills.

All internal auditors have either undergone training or have proven previous extensive experience and their competency has been assessed and confirmed by the Group Compliance Director.

Seagull primarily uses their Group Compliance Director to conduct their internal audits.

Employees selected in the future as internal auditors must have completed at least 8 hours of shadow auditing and 'on-the-job' training, and have been signed off as competent by the Group Compliance Director, before conducting an internal audit alone. Training records are maintained via the company's online training platform.

Short-Range Audit Programme

Due to the ever-changing requirements of our industry, we only develop a 1-year internal audit programme with specific dates and departments, which is documented in the Internal Audit Schedule (SM-INT-REG-003).

All internal and external non-conformances that are attributable to system or process failures may result in the audit programme being updated to re-audit the affected areas or processes.

PROCEDURE: CONDUCTING INTERNAL AUDITS

Internal quality and security audits are conducted to ensure ongoing compliance with requirements of the relevant certified ISO standards, any applicable regulatory or statutory requirements, best management practice, and adherence to company procedures.

Audits are conducted for each key process definition, and/or business area, or by specific procedure as documented in the audit programme. Each audit shall be conducted according to the Internal Audit Schedule (SM-INT-REG-003).

Internal Audit Procedure



The Group Compliance Director plans each audit according to need, management decision, or customer requirements, and assigns a Lead Auditor from the team of qualified internal auditors.

For each area to be audited, the Lead Auditor will create an Internal Audit Assignment and plan the audit with the appropriate department manager, then prepare an Internal Audit Report (SM-SEC-FORM-003) which will be populated during the audit.

Auditors will then conduct the audit by following the steps below:

Step One: Audit Planning

Defines the scope of the audit, dates of audit, auditors, applicable clauses of affected standards, and documents to review. This is summarised in the Internal Audit Report.

Step Two: Document Review

A comparison of the documentation against the requirements of the applicable standard, applicable regulations and own procedures.

Step Three: Auditing

Comparison of actual practice vs. the requirements of both the company management system documentation and the applicable standard. Interviews with relevant personnel, inspection of records, and observation of processes.

Step Four: Verifying Effectiveness of the Process

General questions aimed at verifying that the process being audited is effective and not prone to generating non-conformities.

Step Five: Summarise Findings

The Lead Auditor shall prepare an executive summary of the audit, including the overall assessment of the area audited, key strengths identified, and areas requiring attention.

A detailed list of the findings shall be compiled, with each finding graded according to the five-tier system defined in Section 2 (Major Non-Conformity, Minor Non-Conformity, Observation, OFI, Positive Finding). Non-conformities shall be entered into the Non-Conformity Report procedure. The audit report shall include both positive findings and areas of non-conformity to provide a balanced assessment.

Step Six: Review of Report

A review by the auditor of all findings and evidence to ensure the audit report is complete, clear, objective, and provides traceable evidence for all findings.

NON-CONFORMITY AND CLOSE OUT

Auditing shall be performed by obtaining objective evidence to support each requirement or indicate where nonconformances are found, which shall then be clearly recorded.

When recording non-conformities, each negative finding must include three elements:

Internal Audit Procedure



Indication of the Requirement: the document or clause of the applicable standard, regulation or own procedure which is thought to not be met.

Objective Evidence: traceable indication of the evidence found which supports the claim of a non-conformity (e.g.: documents, products, information gathered during audit questioning, training records, etc.).

Details of the Non-conformance: a brief statement on why the objective evidence shows a non-conformity against the requirement.

The non-conformities shall be rated as either "Major" or "Minor" per the grading definitions in Section 2, and additionally classified by type as Corrective, Preventive, or Opportunity for Improvement.

Non-conformities shall be managed in accordance with the Non-Conformity Report procedure.

Once Non-Conformity Reports are filed, the responsible managers or parties shall ensure timely corrective action is taken to remedy the identified non-conformities. Where findings are significant in number or impact, the Group Compliance Director shall initiate a Change Management Plan to coordinate and track the required corrective actions through to completion.

The Group Compliance Director or Auditor shall update the Internal Audit Report to reflect the closure of the audit and enter a summary of the results in the audit records.

The completed Internal Audit Report is then distributed to the appropriate managers of the areas audited to report the findings and results of the audit, and to the operations management team.

The results of internal audits are discussed and analysed during every management review meeting.

In all cases, auditees are expected to cooperate fully with the audit team.

PRE-CERTIFICATION AND SURVEILLANCE AUDITS

Prior to external certification or surveillance audits, the Group Compliance Director shall conduct a comprehensive internal audit of the relevant management system scope to verify readiness. Any findings from this pre-certification audit shall be addressed and closed out before the external audit takes place, where practicable.

RELATED DOCUMENTS

Internal Audit Schedule (SM-INT-REG-003)

Internal Audit Report (SM-SEC-FORM-003)

Non-Conformity Report Procedure

Change Management Plan Template

Internal Audit Procedure



REVIEW

This procedure shall be reviewed at the frequency defined in the Document Register (SM-INT-REG-001), or earlier if a significant change occurs that affects internal audit practices within Seagull Maritime.